POLYMARKET GAP ANALYSIS

Market Coverage Assessment and Expansion Opportunities
March 27, 2026

Executive Summary

This analysis maps Polymarket's existing market coverage across all categories, identifies specific expansion opportunities, and ranks them by estimated attainable volume. The research catalogued market counts and aggregate volumes across every major Polymarket category, then systematically identified gaps where new market types could generate meaningful additional volume.

The analysis identifies three categories of expansion opportunity: (1) structural derivatives of proven high-volume markets, such as VP nominee markets alongside $1.38B+ in presidential nominee trading; (2) format extensions into established sportsbook segments like player props, futures, and league expansion; and (3) one genuinely new top-level category—Health & Biotech—that brings a new user segment and 40+ known-date binary events per year. Across all tiers, identified opportunities total an estimated $505-940M+ in attainable volume.

Methodology

Data Collection

Market counts and volumes were sourced from Polymarket prediction tag pages (e.g., /predictions/crypto, /predictions/ai, /predictions/economy). Tag-based totals were used rather than subcategory page grid counts, because markets are cross-tagged across multiple categories and tag totals represent total market exposure per domain. All figures were verified as of March 27, 2026.

Tag-based vs. subcategory counting: Polymarket's subcategory grids show filtered views specific to the page being browsed. The tag-based count captures all markets tagged with that topic, including cross-listed markets. For example, Crypto's subcategory grid displays a subset, while the tag captures 5,399 total markets. We use tag-based counting throughout as it provides the most complete picture of category exposure.

Evaluation Criteria

Each identified gap was assessed against four dimensions:

1. **Estimated attainable volume** — derived from comparable existing markets, traditional market analogs (sportsbook handle, options volume, futures notional), and audience size estimates.
2. **Impact** — rated High/Medium/Low based on potential to meaningfully increase platform volume or attract new user segments.
3. **Implementation effort** — rated Low/Medium/Hard based on resolution source complexity, regulatory requirements, and technical infrastructure needed.
4. **Existing coverage verification** — every proposed gap was checked against live Polymarket data to confirm it does not already exist in some form.

Current Coverage by Category

The following table summarizes Polymarket's existing market coverage as of March 27, 2026, using tag-based market counts and volumes:

Category	Tagged Markets	Tag Volume	Key Markets
Politics	1,638	$2.2B	Dem Nominee ($922.9M), Winner ($459.7M), 2028 Election (118 mkts, $1.7B)
Interest Rates	133	$538.4M	Fed decisions, ECB, BOJ, BOE, BOC, SNB rate decisions

Culture	372	$149.1M	Oscars, Grammys, Eurovision, GTA VI, Elon tweets, MrBeast
Crypto	5,399	$105.2M	BTC (1,708 mkts), ETH, SOL, XRP, DOGE, BNB, MSTR; 3,315 five-min markets
Economy	270	$77.1M	CPI (130 mkts), NFP/jobs, GDP, recession, trade war, global rates
Fed	740	$70.7M	Per-meeting decisions, rate cut timing, Fed Chair ($338M historical)
AI	470	$21.1M	Best model rankings (#1/#2/#3 monthly), coding/math, Claude 5, GPT-5
Real Estate	110	$19.1M	Dubai RE Index, city-level home values, mortgage rate thresholds
Mentions	130	$16.4M	Elon tweet counts (2-day/weekly/monthly), WH briefing mentions, SOTU
Climate & Science	440+	$15.1M	Daily temp (174), weather (213), hurricanes, earthquakes, space (17), pandemics (10)
Housing	120	—	Median home values (Chicago, LA, DC), data overlap with Real Estate tag
Mortgage	101	—	30yr rate thresholds (below 5%, below 6%, hit __ in 2026)
SCOTUS	105	$2.0M	Trump v. Slaughter, tariff rulings ($9M+ cross-platform), vacancy
Gov Shutdown	613	$4.4M (tag)	Shutdown yes/no ($53.5M historical), duration ($23.5M), DHS shutdown

Note: Tag volumes may overlap across categories since markets are cross-tagged. Volumes are not additive across rows. Some categories (Housing, Mortgage) show '—' for tag volume where the tag-level figure was not available; these markets' volumes are captured under Real Estate or Economy tags.

Core Findings by Tier

Tier 1: $100M+ Estimated Volume Gaps

The highest-value expansion opportunities are concentrated in two domains: political derivatives and sports format extensions.

- **VP Nominee Markets ($90-180M est.)** — The single largest identified gap. The 2028 presidential nominee markets collectively exceed $1.38B in volume ($922.9M Dem Nominee + $459.7M Winner). VP selection drove 2-5% swings in presidential odds during the 2024 cycle. In August 2024, Polymarket priced Josh Shapiro at 68% for Harris's VP pick before she chose Tim Walz, demonstrating the forecasting value and public interest in this market type. Resolution would use the same mechanics as existing nominee markets.
- **Primary state-by-state winners ($50-100M est.)** — Individual state primary winner markets create a sequential engagement loop from Iowa through Super Tuesday. Each state is an independent binary event with clean resolution via certified state results. PredictIt operated these markets for years under CFTC no-action letter. National polls have repeatedly failed to predict Iowa and New Hampshire outcomes, highlighting the value of state-level crowd wisdom.
- **Sports player props — per-game O/U ($100M+/yr est.)** — The highest-volume segment in traditional sportsbooks. Binary over/under format fits Polymarket's structure. However, this faces the highest regulatory risk of any gap identified: the CFTC Staff Advisory (March 12, 2026) specifically states that individual player performance contracts 'may be viewed more skeptically.' See companion Assessment Matrix for full regulatory analysis.
- **Sports futures: NHL, golf, MLB expansion, award markets, win totals ($150-300M/yr combined est.)** — Multiple proven sportsbook formats with established demand. NHL represents the 4th major US sport with zero Polymarket coverage. Golf is a top-5 betting handle sport. Award markets (MVP, ROY, Cy Young) resolve via media voting rather than game results, making them more defensible under CFTC guidance. Season win total O/U markets aggregate across 82-162 games, aligning with the CFTC Advisory's preference for 'aggregate performance over extended periods.'
- **Dot Plot / SEP Markets ($5-15M/release est.)** — The sole remaining Fed/monetary policy gap. Despite 740 Fed-tagged markets and 133 Interest Rate markets ($538.4M) covering ECB, BOJ, BOE, BOC, and SNB decisions, the Summary of Economic Projections (SEP) released quarterly alongside FOMC meetings does not have dedicated markets. SEP releases routinely move markets as much as rate decisions themselves.

Tier 2: $10M-$100M Estimated Volume Gaps

Six categories contain meaningful mid-tier expansion opportunities:

- **Reconciliation/omnibus passage ($15-30M)** — Shutdown markets have generated $53.5M+ historically across 613 tagged markets. The structural gap is in mega-legislation: reconciliation bills and omnibus packages that affect taxes, spending, and the deficit. These touch every financial market on the platform and generate weeks of legislative uncertainty.
- **Debt ceiling markets ($10-30M)** — Distinct from government shutdowns in both mechanism and consequence. The 2011 debt ceiling crisis led to the first US credit downgrade and a 17% S&P 500 decline. The 2023 crisis spiked Treasury bill yields and US sovereign CDS. No existing derivative cleanly isolates debt ceiling resolution probability.
- **Net seats gained/lost for midterms ($10-30M)** — The 2026 midterm elections have 435 individual House race markets generating $0-6K each. An aggregated 'net seats' market concentrates liquidity where media, campaigns, and PACs already focus attention. This format mirrors how pundits and political forecasters discuss midterm outcomes.
- **Toss-up race bundle ($5-15M) and Senate seat count range ($5-10M)** — Additional aggregation formats that complement the net seats approach, covering competitive-race dynamics and filibuster proximity respectively.
- **Trump Truth Social post count ($15-25M/yr)** — The only viable expansion of the proven tweet-count format (130 Elon Musk markets, $16.4M volume) to another public figure. Trump's posting volume has comparable variance to Musk's (40-50 posts/day with significant fluctuation), and presidential posting

patterns correlate with policy activity. Would require Truth Social tracking infrastructure analogous to xtracker.polymarket.com.

- **Earnings call mention markets ($8-20M/yr)** — The tweet-count format applied to earnings calls ('How many times will NVIDIA mention 'AI' on the Q1 call?'). Resolution via Seeking Alpha or company-provided transcripts.

Tier 3: $1M-$10M Estimated Volume Gaps

Two categories contain incremental expansion opportunities. While individually modest, these markets serve an engagement and coverage-breadth function:

Tech / AI (470 tagged markets, $21.1M)

AI has its own top-level navigation item with monthly 'best AI model' rankings at three positions (#1, #2, #3), capability-specific rankings (coding, math), style-control variants, forward-month coverage (through June), and company-specific subtags for OpenAI, Anthropic, Google, xAI, DeepSeek, and Grok. The best AI model market for March generated $9M in volume with Anthropic leading at 99%.

Remaining gaps are incremental rather than transformative:

- **AI benchmark score markets ($2-5M per major release)** — Objective, quantitative alternatives to the subjective Chatbot Arena rankings that drive current coverage. 'Will GPT-5 score >90% on MMLU?' or 'Will Claude 5 exceed X on SWE-bench?' The audience for benchmark-level trading is narrower than for 'who has the best model,' limiting volume potential.
- **AI regulation / policy markets ($3-8M)** — 'Will the EU AI Act enforcement result in a fine >$10M by [date]?' or 'Will the US pass federal AI legislation by [date]?' Bridges the AI and politics audiences with binary, verifiable outcomes.
- **AI company fundraising milestones ($2-5M per round)** — 'Will OpenAI close at >$300B valuation?' Partially overlaps with Finance/IPO markets but private round valuations are a distinct market type.

Weather / Climate & Science (440+ tagged markets, $15.1M)

The Climate & Science section spans 174 daily temperature markets (including international cities like Tel Aviv and Seoul), 213 weather markets, hurricane markets (Cat 4 landfall, named storm timing), 6 earthquake markets, 10 pandemic markets, 17 space markets, 11 natural disaster markets, and precipitation markets (Seattle, Seoul). Coverage is broad.

Remaining gaps are event-specific rather than structural:

- **Per-storm hurricane tracking ($2-5M per major storm)** — Categorical hurricane markets exist ('Will a Cat 4 make landfall?') but per-storm tracking does not. Once a named storm forms, markets like 'Will Hurricane [Name] make landfall in Florida?' and 'What category at landfall?' would capture the week-long media frenzy that accompanies major hurricanes.
- **Seasonal hurricane count range ($2-5M)** — 'How many named storms in the 2026 Atlantic hurricane season?' as a range market. NOAA pre-season forecasts (issued in May) provide the initial pricing anchor, with a single market running June through November.

Tier 4: New and Reclassified Categories

The analysis evaluated eight candidates for new top-level categories. One was confirmed as genuinely absent from the platform. Three were found to already exist in significant form and are reclassified as expansion/promotion opportunities. Four were removed as better served by existing categories.

Health & Biotech — Genuinely New Category ($50-150M/yr estimated)

Health & Biotech is the sole category confirmed as entirely absent from Polymarket. Zero FDA, clinical trial, or drug approval markets exist on the platform. The opportunity is substantial:

- **FDA PDUFA markets:** 40+ target action dates per year with known exact dates, spanning oncology, neurology, rare disease, immunology, and cardiovascular therapeutic areas. Each is a binary event (approved/rejected/CRL). Affected stock prices move 20-50% on decision day. An entire ecosystem of tracking tools demonstrates existing demand: fdatracker.com, pdufa.bio (whose ODIN AI achieves 93.6% accuracy on TIER_1 predictions), biopharmawatch.com, RTTNews, and CatalystAlert.
- **ADCOMM vote markets:** FDA Advisory Committee meetings precede PDUFA decisions by weeks. Votes happen on public webcast. Binary outcome (favorable/unfavorable recommendation). Creates two tradeable events per drug instead of one.
- **Clinical trial Phase 3 readouts:** Known timelines via ClinicalTrials.gov. Billions in company value at stake. Higher insider risk than PDUFA markets (investigators, CRO employees, DSMB members may know results before public announcement), requiring robust surveillance.
- **WHO public health emergency declarations:** Binary, high-stakes, global. Irregular but massive when active—COVID-era precedent demonstrated the public interest.

Reclassified Categories

Three categories proposed as new were found to already exist with significant market coverage:

- **Legal & Courts:** 105 SCOTUS-tagged markets ($2.0M volume), including Trump v. Slaughter (FTC), tariff rulings ($9M+ cross-platform), sports event contract cases, and Supreme Court vacancy. Kalshi also has a dedicated SCOTUS & Courts category. The opportunity is promotion to top-level navigation and expansion into criminal trial verdicts—not creation from scratch.
- **Real Estate & Housing:** 110 Real Estate markets ($19.1M), 120 Housing markets (city-level median home values for Chicago, LA, DC), and 101 Mortgage markets (30yr rate thresholds). Markets are scattered across multiple tags. The opportunity is consolidation into a top-level category with national aggregate markets that concentrate fragmented city-level liquidity.
- **Space & Aerospace:** 17 Space markets under Climate & Science plus SpaceX IPO ($60M+) under Finance. Event frequency is too low for a standalone top-level category (~10-15 noteworthy launches per year). Best served by adding specific launch milestone markets (Starship flights, Artemis) within the existing Climate & Science section.

Four additional candidates (Energy & Climate Policy, Social Media & Creator Economy, Startups & Venture, Labor & Employment) were evaluated and removed as better served by markets within existing categories.

Conclusion

This gap analysis identified expansion opportunities across four tiers, totaling an estimated $505-940M+ in attainable volume:

Tier	Opportunity Type	Est. Volume	Key Gaps
Tier 1	Structural derivatives and sports extensions	$345-630M+	VP nominees, state primaries, player props, NHL/golf, awards, win totals
Tier 2	Legislative, midterm, and format extensions	$68-160M	Reconciliation, debt ceiling, net seats, Trump posts, earnings mentions
Tier 3	Incremental category expansion	$12-28M	AI benchmarks/regulation, per-storm hurricanes, seasonal count
Tier 4	New category + structural promotion	$50-150M/yr + multiplicative	Health & Biotech (PDUFA, ADCOMM, Phase 3); promote Courts and Housing to nav

The highest-value opportunities fall into three patterns. First, structural derivatives of existing high-volume markets—VP nominees, state-by-state primaries, aggregated midterm indices, and legislative outcome markets—extend the trading surface of Polymarket's most proven categories with low implementation effort and clean resolution sources. Second, sports format extensions—player props, futures, award markets, and league expansion—represent the largest raw volume opportunity but carry significant regulatory risk in the current environment. Third, Health & Biotech is the sole genuinely new category, offering 40+ known-date binary events per year with an established demand ecosystem and a user segment (biotech traders and pharma investors) not currently served by the

platform.

The companion Assessment Matrix and Strategic Recommendations documents evaluate these opportunities through additional lenses—regulatory risk, wisdom-of-crowds informational value, and implementation prioritization—to translate these findings into an actionable expansion plan.